Quillwood Credit Partners
Origination and credit | Internal working paper

Indicative Term Sheet
Morayfield Stages 1 and 2

Senior secured land and civils development facility of A$52.0M

Prepared for Precinct Land Co Pty Ltd
Prepared by Quillwood Credit Partners
8 May 2026
Version 1.0, non-binding, subject to credit approval
Reference: QCP/TS/2026/0508-PLC
Date: 8 May 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
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1. Summary of proposal

Borrower	Precinct Land Co Pty Ltd, ABN 34 822 626 657
Sponsor	Precinct Communities Group Pty Ltd (trading as Precinct Communities)
Registered office	Level 6, 40 Creek Street, Brisbane QLD 4000
Property	Lot 41 Rowley Road, Morayfield QLD 4506 (38.5 hectares)
Lender	Quillwood Credit Partners
Date	8 May 2026

Parties and property

Quillwood Credit Partners is pleased to set out the indicative terms on which it would consider providing a senior secured facility to the Borrower. This term sheet is non-binding. It creates no obligation on either party and remains subject to credit approval, satisfactory due diligence and documentation acceptable to the Lender.

2. Transaction

The Borrower is a single-purpose vehicle wholly owned by the Sponsor. It acquired the site on 28 June 2024 for A$27.0M. The approved masterplan permits 286 lots in six stages. The facility relates to stages 1 and 2 only (148 lots). Stages 3 to 6 (138 lots) are outside the facility and are expected to be funded separately.

Source	A$M	% of TDC
Senior facility	52.0	77.6%
Sponsor equity (land and cash)	15.0	22.4%
Total development cost (IM)	**67.0**	**100.0%**

Sources of funds on the information memorandum basis

3. Indicative facility terms

Term	Indicative position
Facility	Senior secured land and civils development facility
Limit	A$52.0M
Tenor	30 months from first drawdown
Purpose	Land for stages 1 and 2, civils for 148 lots, infrastructure charges, professional fees, capitalised interest and fees; refinance of the acquisition loan
Interest	3 month BBSW plus 6.25% p.a.
Establishment fee	1.50% of the limit (A$0.78M)
Line fee	1.00% p.a. on undrawn commitments
Release price	100% of net sale proceeds until the balance is reduced to 60% of the outstanding amount, then 110% of allocated debt
Security	First registered mortgage over the whole site, GSA and sponsor completion guarantee

Principal commercial terms (indicative, subject to credit approval)

4. Credit metrics

The Lender will size and monitor the facility on independent figures, not the information memorandum.

Metric	IM	Independent
Gross realisation (A$M)	80.7	77.6
Total development cost (A$M)	67.0	69.8
LVR on GRV	64.4%	67.0%
Margin on cost	20.4%	11.2%
Absorption (lots per month)	8.0	5.5
Sell-out period (months)	18.5	27

IM against Harcourt Lyle Valuers (13 March 2026) and Brannock & Dyer (20 March 2026)

Presales stand at 49 of 148 lots (33%, A$26.4M), with 10% deposits held in the sales agent's trust account. The as-is land value is A$28.4M.

5. Key conditions and covenants

- Sponsor to fund any cost above A$67.0M, including the A$2.8M gap to the QS-adjusted TDC, ahead of further drawdowns.
- Sponsor equity of A$15.0M to be fully injected before first drawdown.
- Minimum presales to be agreed for stage 2 civils to commence, with contracts subject to Lender review.
- Monthly reporting on sales, settlements, costs to complete and programme.
- Independent monitoring by the QS on each drawdown.
- Final maturity to allow a buffer beyond the valuer's 27 month sell-out.

6. Conditions precedent

- Credit approval by Quillwood Credit Partners.
- Updated valuation addressed to the Lender and a final QS report.
- Executed security documents and legal opinion from Calloway Finch Lawyers.
- Evidence of development and operational works approvals, and flood overlay conditions.
- Review of financial statements and management accounts (17 April 2026) by the Lender.
- Satisfactory insurances and payout of the acquisition loan.

7. Principal risks

The Lender notes thin cover on independent figures, sales velocity risk against 33% presales, cost and wet-weather risk on earthworks, buyer affordability, flood overlay and infrastructure charge exposure, and reliance on the Sponsor as a single-project vehicle.

8. Status

These terms lapse if not accepted in writing within 30 days of the date above. Fees and legal costs are payable by the Borrower whether or not the facility proceeds.